Ressex Dashboard

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Independent Non-broking Real Estate Research Company

Definitions & Terminologies Used:

Example Table:

Project Name	Sub-Project Name	Supply (A)	Sales				Unsold (F)	Price Psf (G)
			Q1 15-16 (B)	Q2 15-16 (C)	Q3 15-16 (D)	Q4 15-16 (E)		
Project A	Wing 1	50	2	1	3	4	40	15,000
	Wing 2	60	2	2	4	4	48	14,500
Project B	Wing X	55	3	5	2	Sold out	0	12,500
Project C	Wing Z	70	6	4	1	5	54	15,500

1. Quarterly Sales (B, C, D, E):

Quarterly sales is the number of units which have been sold in the selected quarter.

Example:
As shown in Example 1, in Project A, Sales in Q4 15-16 in Wing 1 is 4 units and in Wing 2 is 4 units, thus the total sales in project A in Q4 15-16 is equal to sales in Wing1 + sales in Wing 2 = 4+4 = 8 Units.
In Micro Market (MM), quarterly sales in Q4 15-16 (or incremental sales for Q4 15-16) is equal to sales in Project A & Project C (as Project B is sold out in Q4 15-16), which is equal to = 8 + 5 = 13 Units

2. Annual Sales (Wing Level- H, Project Level- I):

Annual sales is the number of units that have been **sold in the last four quarters** including the selected quarter.

Example:
Suppose in a Project A,

Subproject Name	Q1 15-16 Sales (B)	Q2 15-16 Sales (C)	Q3 15-16 Sales (D)	Q4 15-16 Sales (E)	Wing level Annual Sale (H)	Project A- Annual Sales
Wing 1	2	1	3	4	10	B+C+D+E = I =22
Wing 2	2	2	4	4	12	

Annual Sales in FY 15-16 or Incremental Sales for FY 15-16 = 22 Units

3. Sold Till Date (Wing Level- J, Project Level- K):

Sold till date is the **cumulative sum of all the units sold in a particular project/wing** since it was launched in the market for sales.

Example:

Suppose in a Project A, Launched in Q1 15-16

Subproject Name	Q1 15-16 Sales (B)	Q2 15-16 Sales (C)	Q3 15-16 Sales (D)	Q4 15-16 Sales (E)	Sold Till Date (J)	Project A- Sold Till Date
Wing 1	2	1	3	4	10	B+C+D+E = K =22
Wing 2	2	2	4	4	12	

Thus the **sold till date in Project A is 22 units.**

4. Unsold Stock (F):

Unsold Stock is the number of units that were left unsold in the market at the end of a given period. It can be calculated by subtracting sold till date from total supply of the wing.

Unsold Stock = (Total supply of wing - Sold till date in the wing)

Example:

Suppose in a Project A, Launched in Q1 15-16

Subproject Name	Total Supply (A)	Q1 15-16 Sales (B)	Q2 15-16 Sales (C)	Q3 15-16 Sales (D)	Q4 15-16 Sales (E)	Unsold as on Q4 15-16 F=A-(B+C+D+E)
Wing 1	50	2	1	3	4	50-(2+1+3+4)= 40
Wing 2	60	2	2	4	4	60-(2+2+4+4)= 48

Thus, the unsold stock in the project A is 88 units- 40 units in wing 1 and 48 units in wing 2.

5. Marketable Supply (Annual-L, Quarterly-M):

Marketable Supply represents the supply of the project by the builder/developer available for sales at the beginning of the current quarter along with new launches during the quarter. It includes only those units, wings, buildings that are being marketed in the current quarter. Whatever is being offered

to the consumer through the period under consideration comprise the marketable supply for that period. It can be calculated by adding up the sales in the current period plus the unsold stock at the end of the period.

Marketable Supply = Sales during Period / Period End Unsold

Example:

Sub Proj. Name	Total Supply (A)	Sales				Unsold at the end of Q4 15-16 (F)	Annual Marketable Supply = Annual Sales + Unsold (L=H + F)	Quarterly Marketable Supply for Q4 15-16 (M)= Quarterly Sales (E) + Unsold (F)
		Q1 15-16 (B)	Q2 15-16 (C)	Q3 15-16 (D)	Q4 15-16 (E)			
Wing1	50	2	1	3	4	40	=2+1+3+4+40=50	=4+40=44
Wing2	60	2	2	4	4	48	=2+2+4+4+48=60	=4+48=52
Total							= 50+60 = 110	= 44+52 = 96

6. Total Supply (A):

Total supply is the sum of supply of all the marketable wings of a given project.

Example:
In micro market (MM) in the above illustration, Project A and Project C have marketable wings in Q4 15-16 whereas Project B is fully sold out.
Thus, Total Supply of Micro Market (MM) = Supply of Project A + Supply of Project C = 110+70 = 180

Project Name	Sub Project Name	Supply	Q4 15-16
Project A	Wing 1	50	4
	Wing 2	60	4
Project B	Wing X	55	Sold out
Project C	Wing Z	70	5

7. Supply Size:

Supply Size comprises of supply of current marketable projects and all the sold out projects supply of any micro market, suburb or city.

Example:

In Example 1, micro market (MM) has three projects; one of them Project A has 110 units with 22 units sold and 88 units unsold, the second- Project B with 55 units with all its units sold, i.e. 0 unsold, and the third project- Project C has 70 units with 16 units sold and 54 units unsold.
Then, Supply Size of Micro Market (MM) = Supply of Project A + Supply of Project B + Supply of Project C = 110 Units + 55 Units + 70 Units = 235 Units

8. Project Size:

Project Size comprises of all the units of a project including the supply of the sold out wings.
Project Size= Total Supply of Marketable Wings + Total Supply of Sold Out Wings

Example:
Suppose in Project A there are two wings, Wing 1 has 500 units with 200 units sold, and Wing 2 has 300 units with all its units sold.
Then, Project Size of Project A = Supply of Wing 1 + Supply of Wing 2 = 500 Units + 300 Units = 800 Units.

9. Weighted Average Price on Unsold (Rs. /Psf) (N):

It represents the sum of product of every sub-project's unsold and its price divided by sum of unsold of all the sub-projects in a given market.

Wt. Avg. Price on Unsold = (Rate1*Unsold 1 + Rate 2*Unsold2 +...)/Sum of (Unsold1 + Unsold2 +....)
= ((G1*F1) + (G2*F2) + (G3*F3) + ... + (Gn*Fn))/ (F1 + F2 + F3 + ... + Fn)

This signifies that price at which the unsold stock is available in the market. Since real estate is largely perceived by the prices, it is important to know at what price how much unsold is available. A builder having only two units to sell may ask astronomical price, but the builder who has a large stock to sell may offer price below the market average. Wt. Avg. Price on Unsold represents the true price at which majority of the unsold stock is available in the market.

Example:

Sub Proj.	Unsold- Q4 15-16	Current Price (Rs. Psf)	Wt. Avg. Price on Unsold for Q4 15-16
Wing1	40	15,000	=((40*15000) + (48*14500)) / (40+48)
Wing2	48	14,500	=14,727/Sq ft

10. Weighted Average Price on Sold (Rs. /Psf):

In order to understand the price at which the actual absorption of the units is taking place the weighted average price on sold can be used. It represents the sum of product of every sub-project's incremental sales and its price divided by sum of sales of all the sub-projects in a given market.

Wt. Avg. Price on Sold (for a quarter) (Rs. / Psf) = (Rate1*Quarterly Sales 1 + Rate 2*Quarterly Sales2 + ...)/Sum of (Quarterly Sales1 + Quarterly Sales2 + ...)

Example:

Sub Proj.	Q4 15-16 Sales	Current Price (Rs. Psf)	Wt. Avg. Price on Sold for Q4 15-16
Wing1	4	15,000	=((4*15000) + (4*14500)) / (4+4)
Wing2	4	14,500	=Rs. 14,750/Sq. ft.

11. Weighted Average Price on New Launch:

In order to understand the prices at which the new launches in a given period have been launched, the weighted average price on the new launch is calculated. It represents the sum of product of every new launched sub-project's supply and its launch price divided by sum of supply of all the new launched sub-projects in a given market.

12. Months Inventory (MI):

Months Inventory (MI) represents the number of months required for the unsold in the market to be absorbed according to the existing demand or the current pace of sales. It is calculated by dividing the unsold stock by monthly sales.

Months Inventory = Unsold / Monthly Sales

Monthly sales = Quarterly Sales / 3 = Annual Sales / 12

Example:

Project Name	Supply (A)	Q4 15-16 Sales (E)	Unsold (F)	Monthly Sales =E/3	Monthly Sales (MS)	MI
Project A	110	8	88	= 8 Units / 3 Months	2.67 Units	=88/2.67 = 33 Months

13. Monthly Sales Velocity (SV):

Sales velocity represents the achieved velocity at which project is able to sell. It is represented as percentage of supply sold in a month.

For a wing/tower sales velocity is calculated as average monthly sales per supply.

$Achieved\ Sales\ Velocity\ of\ Wing/Tower\ (Si) = Gross\ Average\ Monthly\ Sales\ /\ Total\ Supply$

For a project it is calculated as average of sales velocity of individual marketable wings.

$Estimated\ Sales\ Velocity\ of\ Project\ (S) = \sum Si\ /\ n$

For a Location/City the sales velocity is taken as median sales velocity of all the subprojects in the boundary.

$Estimated\ Sales\ Velocity\ of\ Region/Boundary\ (Sb) = Median(Si)$

14. Base Cost of Flat (CoF):

Base Cost of Flat represents the cost of a flat at the time it was marketable. For ongoing projects, it refers to the cost calculated by multiplying the size and the prevailing rate. It is the **basic cost of the flat** and does not include any regulatory charges like registration, stamp duty, GST, etc. or additional charges applied by the developer like parking, maintenance, society charges, or any other miscellaneous charges.

Example:

Suppose in Wing A

Type	Saleable Area (in sq.ft.)	Saleable Price (Rs. Psf)	Base Cost of Flat	Base Cost of Flat (Rs.)	Base Cost of Flat (Rs. Lacs)
1 BHK	600	15,000	=15000*600	90,00,000	90 Lacs
2 BHK	850	15,000	=15000*850	1,27,50,000	127.5 Lacs
3 BHK	1,150	15,000	=15000*1150	1,72,50,000	172.5 Lacs

15. Value of Stock Sold (or Business Turnover (BT)):

Business Turnover or Value of Stock Sold represents the value of the trade or in other words business done during the period. This is calculated by multiplying the sq. ft. sold during the period with prevailing prices on a subproject level.

Example:

Suppose in Wing A

Type	Salable Area (in sq.ft.)	Saleable Price (Rs. psf)	Base Cost of Flat (CoF) (Rs.)	Sales in Quarter (E)	Value of Stock Sold =CoF * E
1 BHK	600	15000	=15000*600 = 90,00,000	1	=1*90 Lacs
2 BHK	850	15,000	=15000*850 = 1,27,50,000	1	=1*127.5 Lacs
3 BHK	1,150	15,000	=15000*1150 = 1,72,50,000	2	=2*172.5 Lacs
Total Value of Stock Sold					=562.5 Lacs

16. Market Efficiency Index:

Market efficiency is the ratio between price per square foot and the sales per square foot of supply. The ratio suggests demand elasticity in the market i.e. the impact on demand given the rise in the property price. In other words, if the average sale per building is increasing with the increase in price, the market is efficient. Conversely, reduced sales means the market has become relatively inefficient to that extent.

In real estate parlance, supply brings in demand. Meaning, if two new projects come up in the same location where a project is selling 10 units per month, the sale of 10 units may get distributed among the three project. It is possible that while sales in the first project could drop from 10 to 8 units, the two new projects could create additional sales of 8 units each, thereby taking the overall sales from 10 to 24 units. However, the average sales per building would have come down from 10 to 8 units.

The market efficiencies have been indexed by using the second data point of the selected location database as 100 to give a comparable assessment of the market over a period.

Base Year

- Ressex represents the movements between two data points.
- Our first data point for MMR is Jan 2004 and the second survey was carried out in Jan 2005. Therefore, Jan 05 has been considered as the base year, which reflects the movement of sale and inventory between Jan04-Jan05.
- Base Year for Pune, NCR, & Bengaluru is Nov 08, which represents the movement between Jun 08 and Nov 08. The first survey here was carried out in Jun 08.
- The base year for Chennai and Hyderabad is March 09, which represents the movement between Nov 08 and March 09. The first survey here was carried out in Nov 08.

17. Product Efficiency:

It represents the product of length and slope of the supply and sales graph of a product. The relevance of product efficiency comes into picture when comparing multiple product types: a product with huge supply but low sales would return a high value, hence to compare it with smaller projects making better sales the factor of slope is also taken into account.

Product Efficiency= (Sales2 + Marketable Supply2) (1/2) X (Sales / Marketable Supply) This value of product efficiency is then divided by maximum value to derive a percentage for product efficiency, which is then presented in the table on dashboard.

Product Type	Marketable Supply	Annual Sales	Product Efficiency	Product Efficiency Ratio
1BHK	4.99	0.78	0.789472	38%
2BHK	13.25	2.07	2.095109	100%

Product Type	Marketable Supply	Annual Sales	Product Efficiency	Product Efficiency Ratio
3BHK	6.58	1.21	1.230288	59%

Other definitions

- **Administrative Wards:** The administrative boundaries of a city based upon the municipal ward maps.
- **LF Locations:** Liases Foras defines locations based on the physical setting of the areas. These are broader regions comprising of smaller areas, e.g. Andheri East comprises of Andheri (E), Sakinaka, J.B.Nagar, etc. Projects are marked in the location given in their addresses by the builder/developer.

18. Affluence Index :

Location and neighborhood quality are crucial in real estate investment. Liases Foras has developed the **Affluence Index (Economic Density Index)** to represent location quality, calculated as **Population Density × Income.** It reflects the demographic characteristics of an area, where higher economic density indicates affluent populations and better infrastructure, while lower density suggests less-developed localities.

The following table shows the classification ranges for a location based on its normalized values.

Min Range	Max Range	Category	Approx. Household Cost In The Region
0	0.002857	Low	Below ₹40 lakhs
0.002857	0.008571	Mid	₹40 lakhs – ₹80 lakhs
0.008571	0.018571	Upper Mid	₹80 lakhs – ₹1.5 crore
0.018571	0.04	High	₹1.5 crore – ₹3 crore
0.04	0.111429	Affluent	₹3 crore – ₹8 crore
0.111429	1	Extremely Affluent	Above ₹8 crore

PRODUCT

›Desktop Valuation (http://crystal.liasesforas.com/DesktopValuation/)

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